

Morgan.” The insurer W. R. Berkley is another great one. “Greenlight RE — run by Einhorn,” Matt added. “That’s a financial, but it’s really David Einhorn’s vehicle.”

You can find all the names — a kind of ready-made watch list — by just looking at the fund’s holdings, which it discloses publicly.

The index also harbors a variety of insiders and talents: Families that have a long history of creating value — like the Marriott family or the Pritzker family. And investor types — like Nelson Peltz (now involved in Wendy’s), John Malone, Icahn, Ackman, Einhorn, Eddie Lampert and others.

“For the average person,” Matt summed up, “getting access to investors of that quality is not easy. You can get it only if you go through a hedge fund or a private equity partnership. And you need to be at a high standard of living to qualify. But this is an indirect way to access that talent. And you can have Nelson Peltz invest your money. You can have Carl Icahn and Warren Buffett.”

Wealth begets wealth

“Most wealth remains hidden in private financial arrangements undetected by curious onlookers,” write Professors Joel Shulman and Erik Noyes. “The public will probably never know the secrets behind this money.”

But not all such wealth lies hidden. As we saw with Matt Houk, some of the world’s wealthiest own and operate public companies. And we can track how they do — which is what Shulman and Noyes did.

Not surprisingly, they found that, on average, their stocks did well: “We conclude that, overall ... a portfolio or index of publicly traded stocks represented by the world’s wealthiest individuals offers a good deal.”

The professors’ Billionaires Index — which is very close to the Wealth Masters Index — whooped its peers. As a result, they put forward the idea of buying a basket of such stocks. Again, you can now do this by buying the Wealth Masters Fund.

The professors didn’t spend much time thinking about why such companies outperform. But they do give a few clues. One of them is that the rich have access to networks — through social and business connections — that give them better information. It helps them keep their edge over less connected peers.